

ORIGINAL

BEFORE THE  
FEDERAL MARITIME COMMISSION

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Docket No. 18-03

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JC HORIZON LTD.

COMPLAINANT

v.

CHINA SHIPPING CONTAINER LINES CO. LTD.

RESPONDENT

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**VERIFIED COMPLAINT**

Complainant, JC Horizon Ltd. ("JC Horizon"), by and through the undersigned, hereby files this Complaint against China Shipping Container Lines Co. Ltd. ("CSCL") alleging violations of the Shipping Act of 1984, as amended (46 U.S.C. § 40101 *et seq.*) (the "Shipping Act"). CSCL has and continues to attempt to levy demurrage and detention fees against JC Horizon arising out of an international shipment. The fees CSCL seeks are not provided for in the service contract between the parties or set forth in an applicable publicly available tariff. CSCL's conduct is improper under the Shipping Act, and has caused JC Horizon injuries including but not limited to lost profits, lost business opportunity, and unreasonable and unjust payments and obligations. JC Horizon therefore seeks a cease and desist order enjoining CSCL from further violations of the Shipping Act related to these detention and demurrage charges.

## **PARTIES AND JURISDICTION**

A. Complainant JC Horizon is a California company with its principal place of business in Ontario, California. JC Horizon's address is 825 East State Street, Ontario, California 91761. JC Horizon specializes in exporting recycled materials from the United States to China.

B. During the time of the relevant shipment described herein, Respondent CSCL was a China-based ocean common carrier providing international services. In 2016, CSCL merged with China Ocean Shipping Company. The merged entity does business as COSCO Shipping Development Co. Ltd ("COSCO Shipping"). COSCO Shipping is a Chinese company with its principal place of business in Shanghai, China. COSCO Shipping's address is No. 628 Minsheng Road, Pudong New Area, Shanghai 200135, P.R. China, and its email address is zyhyfz@coscoshipping.com. COSCO Shipping also maintains offices in the United States. The address of COSCO Shipping's New Jersey office is 100 Lighting Way, 3rd Floor, Seacaucus, New Jersey 07094.

C. CSCL was at all relevant times hereto a common carrier subject to the Shipping Act, including but not limited to the requirement to establish, observe and enforce "just and reasonable" practices relating to the handling, storage and delivery of property, pursuant to 46 U.S.C. § 41102.

D. JC Horizon and CSCL are parties to a Service Contract for the international shipment of goods, Service Contract No. 13TP08402 (the "Service Contract"). CSCL has and continues to attempt to impose fees or charges on JC Horizon that are not contained in the Service Contract or its applicable tariff, in violation of 46 U.S.C. § 41104(2)(A).

E. To the extent CSCL relies on a provision of the Service Contract as authority for levying charges and fees upon JC Horizon, the Service Contract contains terms that are “uncertain, vague, or ambiguous” in violation of 46 C.F.R. 530.8(c)(1).

F. The Commission has jurisdiction over this Complaint concerning past and continuing violations of the Shipping Act, 46 U.S.C. §§ 41102, 41104 and 46 C.F.R. 530.8.

**STATEMENT OF FACTS COMMON TO ALL COUNTS**

G. JC Horizon contracted with CSCL for the shipment of 38 containers of Distillers Dried Grain (with Solubles) (“DDGS”), an ethanol by-product which is resold as a source of animal feed, from the United States to China. This shipment took place under the Service Contract.

H. JC Horizon contracted with CSCL to have the 38 containers shipped by land from Chicago, IL to Los Angeles, CA, and then by sea on the vessel XIN DA YANG ZHOU, Voyage 1433W, from Los Angeles, CA with delivery at Huangpu, China.

I. Pursuant to the parties’ through bill of lading, the Port of Loading was Los Angeles, CA and the Port of Discharge/Place of Delivery was Huangpu, China. As it turned out, the cargo was discharged in Nansha, China, to be barged to the Port of Discharge/Place of Delivery (Huangpu).

J. Discharging the containers at Nansha was a decision CSCL made on its own. There is no reference in the parties’ bill of lading or Service Contract to Nansha as the Port of Discharge or Place of Delivery.

K. While the containers were at sea on the way to China, JC Horizon’s buyer expressed a concern regarding the timing of the delivery in Huangpu. The cargo was scheduled to arrive in Nansha during the Chinese holiday known as “Golden Week,” which ran from

October 1, 2014 through October 7, 2014. During this time, the marine terminal in Nansha would be closed and the cargo would not be forwarded to Huangpu via barge.

L. JC Horizon's buyer in Huangpu was concerned because the DDGS was being imported under a China Inspection and Quarantine ("CIQ") permit that was due to expire on October 8, 2014.

M. On September 16, 2014, JC Horizon emailed its freight forwarder and requested that the freight forwarder tell CSCL that the cargo needed to reach Huangpu "ASAP." The freight forwarder in turn messaged CSCL with a request that CSCL "please push to arrive Huangpu before 10/7/2014 due to CIQ will be expired on 10/8/2014."

N. Due to concerns that the cargo may not be timely delivered to Huangpu before the expiration of the CIQ, JC Horizon explored potentially re-routing the shipment to different ports of discharge to deliver the shipment to a buyer as quickly as possible.

O. JC Horizon ultimately decided not to make any change to the Port of Discharge. Instead, JC Horizon found a different buyer who would take delivery of the cargo at Huangpu. Accordingly, the original bill of lading was never modified. That bill of lading and communications between JC Horizon and CSCL expressly show that Huangpu remained the Port of Discharge/Place of Delivery.

P. CSCL never delivered the cargo to Huangpu. Instead, it unilaterally decided to unload the containers at Nansha and indefinitely hold them there. What was to be a temporary stopover in Nansha for the containers to be barged to Huangpu ultimately became a nearly month-long stoppage before CSCL even told JC Horizon what was happening, notwithstanding the fact that CSCL had barges available that could have transshipped the cargo to its agreed

destination. Because of CSCL's decision to hold the cargo at Nansha instead of delivering it to Huangpu as required under the bill of lading, JC Horizon lost its buyer.

Q. JC Horizon was then forced to find another buyer for the DDGS, and eventually did so in early December 2014, when it asked CSCL to amend the final bill of lading destination to Haiphong, Vietnam for the new buyer.

R. Instead of timely amending the bill of lading and sending the shipment on to Haiphong, CSCL demanded that JC Horizon pay fees and charges allegedly incurred for demurrage and detention during the time the containers were at Nansha.

S. CSCL failed to mitigate the alleged detention and demurrage charges, instead letting them accumulate until attempting to extract payment from JC Horizon.

T. The total amount of alleged detention and demurrage CSCL has demanded from JC Horizon – for cargo that *never* reached its final destination – is more than \$600,000. This is substantially more than the value of the cargo itself, which was to be sold to the original buyer for less than \$400,000.

U. CSCL ultimately disposed of the cargo in Hong Kong after storing it in Nansha for 287 days. Because CSCL disposed of the cargo and would not send it on to Huangpu or to Haiphong unless and until JC Horizon paid the more than \$600,000 demanded in detention and demurrage, JC Horizon lost all value associated with the shipment.

V. Pursuant to an arbitration provision in the parties' Service Contract, the parties proceeded to arbitration beginning in January 2016. In the arbitration proceeding, which was conducted pursuant to the Rules of the Society of Maritime Arbitrators, CSCL sought damages from JC Horizon for the alleged detention charges, demurrage charges, and disposal charges

associated with the container shipment. JC Horizon counterclaimed, seeking the value of the cargo that CSCL failed to deliver to Huangpu that was ultimately destroyed.

W. The SMA panel conducted an evidentiary hearing and received briefing from the parties. The matter was fully briefed as of December 13, 2017. On February 14, 2018, the panel issued an award in CSCL's favor.

X. Since February 14, 2018, CSCL has indicated that it intends to take action to enforce the arbitration award.

Y. CSCL has no basis for attempting to levy demurrage and detention charges incurred as a result of an intermediate offloading and delay docking at Nansha for a shipment that never reached its port of discharge/place of delivery. CSCL failed to meet its obligation to deliver the shipment to Huangpu and now attempts to recoup fees and charges from JC Horizon that resulted from CSCL's own failure.

Z. The Service Contract between CSCL and JC Horizon does not permit CSCL to collect demurrage or detention charges from JC Horizon associated with the stopover at an interim location (Nansha).

AA. Indeed, Section 6 of the Service Contract states that CSCL shall "apply the rates, charges, classifications, rules, surcharges and arbitraries contained in Appendix A hereto for the duration of this Contract." Appendix A contains a rate and fee chart, indicating demurrage and detention charges for various destination ports. Appendix A lists "N/A" under the Demurrage column for both Nansha and Huangpu, indicating that no demurrage would be assessed.

BB. CSCL's applicable tariff from 2014 likewise does not permit CSCL to collect demurrage or detention charges for the interim holdover at Nansha, nor did the parties ever reach any binding, written modification of the bill of lading that would have changed the port of

discharge or permitted CSCL to indefinitely store the cargo – and ultimately dispose of it – at the interim port of Nansha.

CC. The entire purpose of detention is to ensure that a carrier's equipment is promptly returned *after* the cargo arrives at its destination and is available for pick-up. That never happened here.

DD. Likewise, the purpose of demurrage is to ensure that a container that has been *delivered to its final destination* does not occupy terminal space for an extended period of time. Again, the cargo never reached its final destination.

### **VIOLATIONS OF THE SHIPPING ACT**

As set forth in the facts contained in the foregoing paragraphs A – DD, which are incorporated here by reference, Respondent CSCL has violated and continues to violate the following provisions of the Shipping Act:

1. **46 U.S.C. § 41104(2)(A):** It is a violation of the Shipping Act for CSCL to provide service or attempt to impose any fees or charges that are not contained in a properly published tariff or executed service contract. The Service Contract and tariff at issue here do not permit CSCL to impose charges for detention and demurrage for a shipment that never reached its agreed-upon destination. In fact, the tariff at issue does not permit the collection of demurrage (which CSCL attempts to pass-through from the Nansha terminal to JC Horizon) at all. CSCL's attempts to do so, beginning with its attempt to charge JC Horizon detention and demurrage in the first place, continuing through to its attempts to enforce the arbitration award relating to detention and demurrage, violate the Shipping Act.
2. **46 U.S.C. § 41104(4)(A):** It is a violation of the Shipping Act for CSCL to engage in unfair practices with respect to rates or charges under its tariff. Here, CSCL has

attempted to charge JC Horizon detention and demurrage – purportedly under its tariff – on cargo that CSCL failed to deliver to its final destination. This is a violation. CSCL further violated the Shipping Act when it failed to timely re-route the cargo to Haiphong and refused to do so unless JC Horizon paid the improper detention and demurrage charges. CSCL essentially held JC Horizon’s cargo hostage, forcing JC Horizon to lose yet another buyer due to CSCL’s actions, ultimately resulting in the destruction of the cargo.

3. **46 U.S.C. § 41104(10)**: It is a violation of the Shipping Act for CSCL to unreasonably refuse to deal or negotiate. CSCL’s refusal to re-route the shipment to Haiphong, and its decision to instead hold JC Horizon’s cargo hostage in Nansha, was unreasonable and constitutes a violation.

4. **46 U.S.C. § 41102(c)**: CSCL further violated the Shipping Act by failing to establish and enforce just and reasonable practices relating to the handling and delivery of property. Instead of timely delivering JC Horizon’s property to Huangpu as required under the applicable bill of lading, CSCL unilaterally chose to store the cargo at Nansha and then attempted to impose charges on JC Horizon resulting from CSCL’s decision. CSCL’s attempts to levy and to collect charges on cargo which it failed to deliver to its final destination is a violation of this provision.

5. **46 C.F.R. § 530.8(b)(12) and (c)(1)**: The regulations governing service contracts require that a service contract set forth all provisions of the contract and that terms may not be “uncertain, vague or ambiguous.” To the extent CSCL asserts that it is entitled to detention or demurrage under the language of the Service Contract, it has violated this provision because the Service Contract does not clearly and unambiguously set forth the basis for any demurrage or detention to be charged to JC Horizon. The Service Contract does not address demurrage at all,

and to the extent it addresses detention, the only reasonable interpretation of detention charges requires that the carrier actually deliver the goods to their destination for any charge to apply.

Further, CSCL may assert that the indemnification provision of the Service Contract permits it to pass through charges incurred at Nansha to JC Horizon as “damages, fines or penalties of any kind.” Absent specific express language, however, the indemnification provision is insufficient to permit CSCL to charge JC Horizon some form of interim demurrage allegedly incurred while CSCL stored the cargo at Nansha. To the extent CSCL argues the indemnification provision permits interim demurrage, this interpretation is inconsistent with Appendix A to the Service Contract which lists “N/A” under the demurrage column for both Nansha and Huangpu.

### **INJURY TO JC HORIZON**

JC Horizon has suffered and continues to suffer damages as a result of CSCL’s violations of the Shipping Act, including lost profits, lost business, and undue and unreasonable payments and obligations to CSCL.

### **PRAYER FOR RELIEF**

WHEREFORE, JC Horizon prays:

1. That Respondent CSCL be required to answer the charges herein;
2. That after due investigation and hearing, Respondent CSCL be found to have violated 46 U.S.C. §§ 41102 and 41104, and 46 C.F.R. § 530, and such other or further provisions as to which violations may be proved;
3. That upon a finding that Respondent CSCL has violated the Shipping Act, the Commission enter an appropriate order requiring Respondent CSCL to cease and desist from any further violations of the Shipping Act, including any efforts to enforce the arbitration award or to

collect any monies from Claimant JC Horizon related to the improperly charged detention and demurrage amounts;

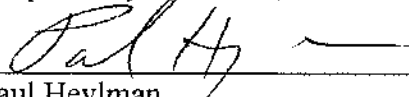
4. That Claimant JC Horizon be awarded all reasonable attorney's fees related to bringing this Complaint;

5. For such other and further relief or orders as the Commission deems appropriate under the circumstances; and

6. That a hearing be held and that the hearing be conducted in Washington, D.C.

Date: May 9, 2018

Respectfully submitted,

  
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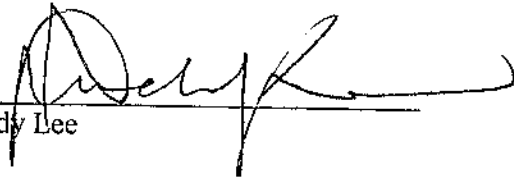
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### VERIFICATION

Judy Lee declares and states that she is the President of JC Horizon Ltd., Complainant in this proceeding; that she has read the foregoing Complaint; and that the facts stated therein are true to the best of her knowledge, based upon either personal knowledge or information received from others which she believes to be true.

I declare this 27 day of April, 2018, under penalty of perjury that the foregoing is true and correct.

  
Judy Lee